

PYGLARA

Prensados y Galvanizados de Lara, S.A.

The largest galvanizing plant in central-western Venezuela



THE OPPORTUNITY

A 50-year industrial plant with world-class German equipment

\$2.2M-\$3.0M

Replacement cost
(build from scratch)

300 TM/mes

Proven production
(best historical month)

936 varillas/dia

Copper line with no
domestic competitor

3 meses

From investment to
revenue generation

Assets valued in the millions. Operational in one quarter.

WHY NOW

Venezuela reopens its oil sector — demand for galvanized steel explodes

\$183 BN

Oil capex projected
through 2040 (Rystad Energy)

\$41 BN

Fabrication & construction
#1 service segment

50 YEARS

Without updating
PDVSA pipelines

~5 PLANTS

Active galvanizing plants
in the entire country

WHY GALVANIZING

Hot-dip galvanizing outperforms paint in every aspect

FEATURE	GALVANIZED	PAINT
Service life	50-100 years	3-5 years (requires repainting)
Bond type	Metallurgical bond (zinc-iron)	Surface adhesion (peels off)
Self-healing	YES — zinc protects cuts and scratches	NO — any damage exposes the steel
Lifecycle cost	~70% cheaper long-term	Repainting every 3-5 years adds up
Impact resistance	Excellent — no bubbles, flakes	Cracks, blisters and peels
Corner protection	Corners receive MORE zinc (galvanic)	Corners receive LESS paint
Maintenance	Zero for decades	Constant inspection and repainting

Galvanizing is not a coating — it is a permanent metallurgical bond between zinc and steel. The zinc sacrifices itself to protect the iron (cathodic protection).

THE PLANT

50 years of industrial operations



Zona Industrial I, Barquisimeto, Estado Lara



3,640 m2 across 2 industrial warehouses



Property title: clean



PDVSA gas (active contract), 66 kVA, industrial water



RIF: J-07014488-0 | Active municipal license



STRATEGIC LOCATION

Barquisimeto: logistics hub of central-western Venezuela



Puerto Cabello

~175 km (2.5-3h por camion)

Principal puerto de importación de zinc



Nodo vial estratégico

Conecta corredores este-oeste

Acceso a 8 estados del occidente



Zona Industrial I

Same complex as CORPOELEC, SASGO, Marullo & INDUESCA



Regional coverage

Lara, Yaracuy, Portuguesa, Falcon, Trujillo, Barinas + Zulia (oil)

CORPOELEC (almacen regional), SASGO (postes electricos) e Industrias Marullo (maquinaria) estan en el MISMO complejo industrial — a metros de distancia.

WORLD-CLASS EQUIPMENT

Pilling Kettles — W. Pilling Riepe GmbH & Co. KG, Germany (since 1873)

KETTLE	STATUS	APPLICATION
7 meters	Installed, burners OK, awaiting zinc	Towers, poles, structures
9 meters	Pending installation (valued \$570K)	Oversized work pieces
3.5 meters	Inactive — needs repair	Cable trays, supports, barriers
Centrifuga 65cm	ACTIVE, good condition	Nails, hardware, bolts

Proven production (7m): **300 TM/mes**



THE PILLING ADVANTAGE

"El Ferrari de los hornos de galvanizado"



W. Pilling Riepe GmbH & Co. KG

World's leading manufacturer of galvanizing kettles since 1873 — over 150 years of German engineering.



Electroslag welding

Patented process that creates defect-free joints. Wall thickness up to 80mm — indestructible.



Decades of service life

Pilling kettles last 20-30+ years with basic maintenance. PYGLARA's burners confirmed in good condition.



Replacement value: \$1.1M+

The kettles alone (7m + 9m + 3.5m + centrifuge) cost between \$1.14M and \$1.34M at replacement price.



9m Pilling Kettle
Valued at \$570,000



PRODUCTS & APPLICATIONS

Every type of steel that needs corrosion protection



ELECTRICAL

Poles, transmission towers,
cable trays, hardware



OIL & GAS

Pipelines, steel structures,
platforms, railings



CONSTRUCTION

Beams, columns, sheets,
roofing, stairs, crash barriers



RENEWABLE ENERGY

Solar panel mounts,
wind towers, brackets



INFRASTRUCTURE

Mechanically stabilized earth walls,
signage, pedestrian bridges



AGRO / INDUSTRIAL

Fencing, mesh, barbed wire,
silos, tanks, gates

Mechanically stabilized earth: retaining walls reinforced with galvanized steel strips — Freyssinet/Geoquest is a historical PYGLARA client

COPPER ELECTROPLATING

ZERO domestic competitors

Product	Copperweld-type grounding rods
Process	Copper electroplating (electrolytic bath)
Diameter	5/8" to 1"
Length	1.2m to 3.0m
Coating	300 um +/- 50 copper
Capacity	936 units/day (24h cycle)
Revenue	\$561K - \$1.05M/year at full capacity

ENELVEN (now CORPOELEC) purchased 20,000 rods in 2004-2005



QUALITY & CERTIFICATIONS

International certifications + quality control on every batch

PRENSADOS Y GALVANIZADOS DE LARA, S.A.

Carrera 2, esquina Calle 26, N° 29-90, Zona Industrial 1, Barquisimeto, Estado Lara
Teléfono: +58 424 571 5349 | RIF: J-07022640-6 | Instagram: @pypglara

Certificado de Calidad GALVANIZADO EN CALIENTE

CLIENTE: CONSTRUTORA QUEIROZ GALVAO - SUCURSAL VENEZUELA, C.A.
CANTIDAD: 350 piezas | **Peso:** 7.156 kg | **O/Entrega:** 00010474
DESCRIPCIÓN: Tubos Rectos
MEDIDAS: 2" x 6,30 m
FECHA DE ENTREGA: 03 de mayo de 2013

RESULTADOS DE ENSAYO

PARAMETRO	ESPECIFICACIÓN	RESULTADO OBTENIDO
Adherencia	Buena	Buena
Apariencia	Buena	Buena
Espesor de capa de zinc (promedio del lote)	65 µm	101 µm
Funcional (tornillos)	—	—

Espesor obtenido: 101 µm — 55% por encima de la especificación mínima (65 µm)

NORMAS APLICADAS

El proceso de galvanizado en caliente cumple con las siguientes normas:

- **COVENIN 1212-81** — Norma venezolana para recubrimientos de zinc por inmersión en caliente
- **ASTM A153** — Recubrimientos de zinc (galvanizado en caliente) sobre herrajes de hierro y acero
- **ASTM A123** — Recubrimientos de zinc (galvanizado en caliente) sobre productos de hierro y acero

OBSERVACIONES

Galvanizado en caliente ejecutado según normas COVENIN 1212-81 (apariencia, adherencia y espesor de capa de zinc) y ASTM A153/A123. Se certifica que los datos aquí suministrados cumplen con todos los requerimientos de calidad aplicables.



COVENIN 1212-81
Venezuelan galvanizing standard



ASTM A123
Zinc coatings on iron/steel



ASTM A153
Zinc coatings on hardware

"Certificamos cada lote — espesor obtenido: 101 um (55% sobre especificacion)"

THE TEAM

50 years of accumulated experience in industrial galvanizing

FOTO

Ing. Francisco Ballesteros Z. FOUNDER

Founded and led PYGLARA for over 50 years, keeping it operational through economic contractions exceeding 70%. Extensive industrial network across Venezuela and abroad. Undisputed authority in industrial galvanizing.

FOTO

Ing. Miriam Armas PLANT ENGINEER

36+ years of technical experience. Responsible for quality, production and certifications. Knows every piece of the plant. Primary source for technical due diligence.

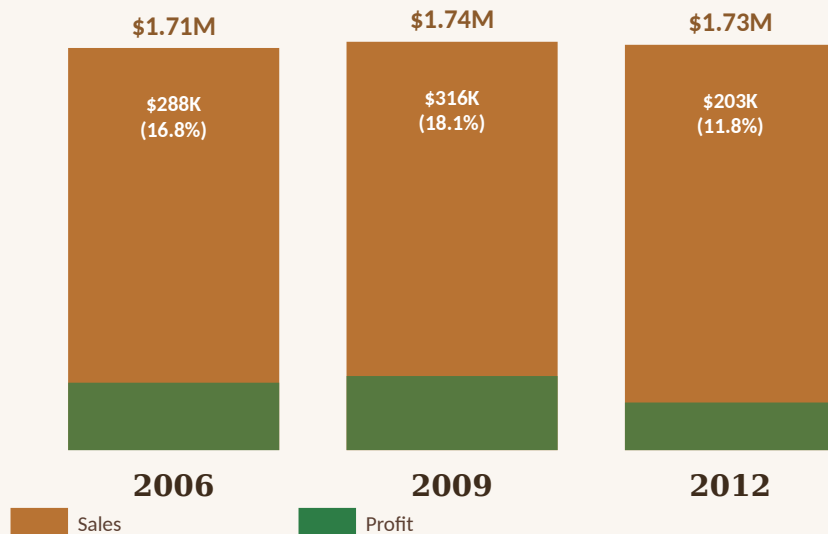
OPERATIONS TEAM

At full capacity: 15 workers (piece-rate). Currently: 3 workers. Direct supervision by Ing. Miriam. Hiring scales with production — no fixed payroll commitments until there is volume.

TRACK RECORD & CLIENTS

50 years of operation — financial data confirmed by SENIAT

TOP 3 YEARS (SENIAT)



Data declared to SENIAT (verifiable). Exchange rates: CADIVI 2006/2009, post-devaluation 2012.

CLIENTS & PARTNERS

CORPOELEC

20,000 copper ground rods

SASGO

Electric poles & towers

MARULLO

Agroindustrial machinery

FREYSSINET

MSE retaining walls (VINCI Group)

INDUESCA

Cable trays & towers

DISMACA

EPC / Oil & Gas

34 clientes historicos

6 interested in reactivating orders

CURRENT PLANT INVENTORY

Materials, equipment and machinery available at the time of transaction

RAW MATERIALS ON SITE

Material	Quantity
Zinc SHG 99.99%	2,041 kg
Hydrochloric acid (HCl)	4,600 kg
Ammonium chloride (NH ₄ Cl)	500 kg

MACHINERY & EQUIPMENT

Equipment	Quantity
Clark Forklifts (2,500 kg)	3 units
Overhead Cranes (2-5 MT)	2 units
Industrial Scale	1 unit
Three-phase Rectifiers (copper)	6 units
Electrolytic Tanks (copper)	10 units
65cm Centrifuge	ACTIVE



Galvanized nails — current production with 65cm centrifuge

The 65cm centrifuge is **OPERATIONAL** and producing galvanized nails **TODAY** — the plant is not completely idle.

COMPETITIVE POSITION

Between 2 and 6 known plants in the entire country — most in installation phase

2-6

Known plants in
all of Venezuela

\$2.2M

Minimum investment for
a new entrant

18-36

Months of construction
to compete



Extremely high barrier to entry — building a galvanizing plant takes years and millions of dollars



Pilling equipment (Germany) is not available locally — impossible to replicate quickly



PYGLARA has clean title, active permits, and is ready to operate in 3 months



Coverage: Lara, Yaracuy, Portuguesa, Falcon, Trujillo, Barinas + Zulia (oil)

"Extremely high barrier to entry"

GALVANIZING ECONOMICS

Variable and fixed cost structure per galvanized ton

Variable Costs (per ton)	\$/TM	\$/Kg	% Variable
Zinc SHG 99.99% (10% absorption x \$4,220/TM)	\$422	\$0.422	78%
Hydrochloric acid HCl (4.2% x \$1,174/MT)	\$49	\$0.049	9%
Ammonium chloride NH4Cl (3% x \$2,300/MT)	\$69	\$0.069	13%
TOTAL VARIABLE	\$540	\$0.54	100%
SELLING PRICE (market range)	\$1,200-\$1,500	\$1.20-\$1.50	
CONTRIBUTION MARGIN (range)	\$660-\$960	\$0.66-\$0.96	55%-64%

MONTHLY FIXED COSTS

Gas PDVSA: \$1,800 | Seguridad: \$1,200

Salarios: \$2,300 | Electricidad: \$200 | Otros: \$100

Total: \$5,600/mo (+\$7,500 labor at full capacity)

= \$13,100/mo at 300 MT → only \$44/MT additional

NET PROFIT PER TON (range)

Revenue: \$1,200-\$1,500 - Variable: \$540 - Fixed: ~\$44-\$131

\$529 - \$916 / MT net

Depends on volume, zinc price, and selling price

FINANCIAL PROJECTIONS

Three scenarios — actual production depends on demand, zinc supply, and operational capacity

Scenario	MT/mo	Revenue/mo	Costs/mo	Profit/mo	Profit/yr
Conservative	100	\$120K-\$150K	\$60K-\$67K	\$53K-\$90K	\$636K-\$1.1M
Moderate	200	\$240K-\$300K	\$114K-\$121K	\$119K-\$186K	\$1.4M-\$2.2M
Best historical	300	\$360K-\$450K	\$175K-\$182K	\$178K-\$275K	\$2.1M-\$3.3M

KEY ASSUMPTIONS & VARIABLES

Selling price: \$1,200-\$1,500/MT (depends on market and part type)

Variable cost: ~\$540/MT (zinc at current LME price — subject to volatility)

Fixed costs: \$5,600-\$13,100/mo (scale with labor based on volume)

Ranges reflect factors such as zinc availability, seasonal demand, and actual operational capacity.

55%-64%

Operating margin
range

10-20 MT

Break-even
range/month

<7%

Break-even as
% of capacity

BREAK-EVEN POINT

Estimated break-even: **10-20 MT/mo** — less than 7% of proven production

10-20 MT
Break-even

300 MT/mo — Proven production



Profitable from a very low volume — wide margin of safety



Best historical month was 300 MT. Break-even is less than 7% of that capacity.



Fixed costs: \$5,600-\$13,100/mo (depends on scale). Variable: ~\$540/MT (subject to zinc price).



Range depends on selling price (\$1,200-\$1,500/MT), zinc cost, and labor level.

CAPITAL DEPLOYMENT

Phased startup capital — each phase funds the next

Phase 1: 3.5m Kettle
Repair + 20 MT zinc

\$94,400



~\$30K-\$80K/mo

Phase 2: 7m Kettle
50 MT zinc + cranes

\$216,000



\$90K-\$275K/mo

Phase 3: Copper Line
Rectifiers + tanks

\$52,500



+\$30K-\$56K/mo

Phase 4: 9m Kettle
Installation + zinc

TBD



Future capacity

Minimum investment (Phases 1-2): **\$336K** → Potential: **\$90K-\$275K/mo** (depends on volume)

ASSET VALUATION

Replacement cost — what it would cost to build from scratch

Category	Value Range
Terreno + 2 galpones (3,640 m2)	\$692K - \$990K
Pilling kettles (7m + 9m + 3.5m + centrifuge)	\$1,140K - \$1,340K
Copper line (6 rectifiers, 10 tanks)	\$100K - \$200K
Cranes, forklifts, industrial scale	\$90K - \$180K
Chemical processing + infrastructure	\$90K - \$180K
Permits, installation, commissioning	\$72K - \$140K
TOTAL REPLACEMENT COST	\$2.2M - \$3.0M

Una nueva planta toma 18-36 meses de construccion. PYGLARA esta lista en 3 meses.

WHAT THE ACQUISITION INCLUDES



100% equity ownership (Sociedad Anonima)



PYGLARA brand + 50 years of reputation



2 industrial warehouses with clean title (3,640 m2)



34 documented historical clients



4 Pilling kettles (Germany) + furnaces and burners



Active permits: RIF, license, PDVSA Gas contract



Complete copper electroplating line



Personnel with 36+ years of technical experience



2 overhead cranes + 3 Clark forklifts + industrial scale

NEXT STEPS

01

Visit the plant

See the Pilling equipment firsthand

02

Review the full document

25-35 page investment document with all the details

03

Discuss terms

Due diligence process and negotiation

"This plant is ready. The clients are waiting. All it needs is zinc."

PYGLARA

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WhatsApp

Scan to contact

OFAC COMPLIANCE FRAMEWORK



General License 50A

Permits certain transactions related to Venezuela



Non-Sanctioned Activity

Industrial galvanizing services are NOT sanctioned



100% Private Capital

No government ownership whatsoever



No Sanctioned Entities

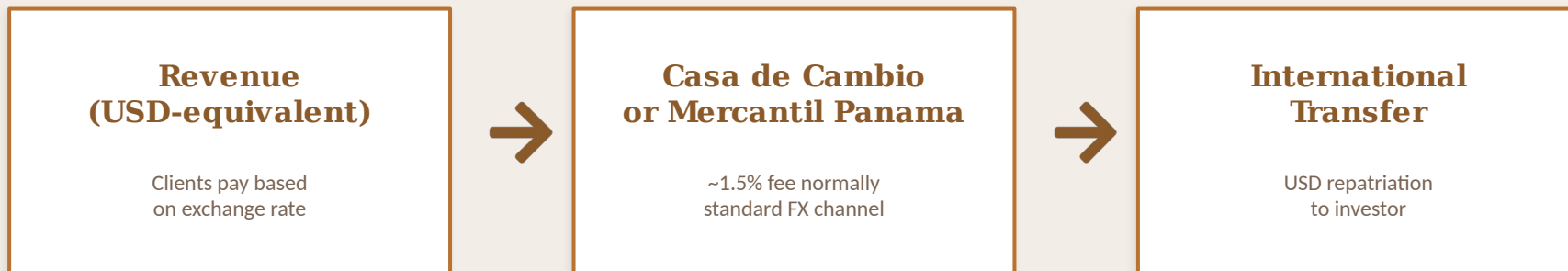
No involvement with PDVSA beyond standard gas utility



Legal Counsel

Consult Venezuela-experienced counsel for specific guidance

USD REPATRIATION MECHANISM



- ✓ Revenue denominated in USD-equivalent pricing
- ✓ Casa de cambio or Mercantil Panama — ~1.5% fee (standard)
- ✓ Post-January 2026 government has normalized foreign exchange
- ✓ Multiple private companies currently repatriating profits via same channels

Currency volatility exists but is mitigated by USD-equivalent pricing model.

KEY RISKS AND MITIGATION

Risk	Impact	Mitigation
Zinc price volatility	Medium	Pass-through cost — client pays based on absorption rate
Regulatory margin cap (30%)	Low	Market achieves ~50% actual. 30% is legal floor.
Political/regulatory change	Medium	Infrastructure is bipartisan. Post-Jan 2026 govt is oil-friendly.
Client volume below forecast	Low	Break-even at 14 TM/month (4.5% of proven capacity).
Equipment failure	Low	\$25-50K maint. budget. 36+ years of technical expertise on staff.
Currency/exchange risk	Medium	USD-equivalent pricing. Revenue follows exchange rate.

The core risk is macro. The core mitigation is that PYGLARA is an infrastructure play — whoever governs needs galvanized steel.